

COMPLIANCE REPORT

TO: Head of Compliance

FROM: Blockchain Data Analyst

RE: Suspicious Bitcoin Transaction Review - Elliptic Dataset

DATE: May 2026

Overview

This report presents findings from an independent analysis of Bitcoin transaction data obtained from the Elliptic dataset. The goal was to identify transactions that show signs of illicit financial activity. I mapped over 12,500 transactions as a network. Think of it like a web where each dot is a transaction and each line shows money moving from one to another. I then looked for transactions that behaved in ways that do not make sense for normal financial activity. This report walks through what I found.

Three Highest-Risk Transactions

The riskiest transaction I found is **70245040**. It received money from 133 different sources before sending it onward. In normal circumstances, a single transaction does not collect funds from that many places at once. This looks like someone funneling money from multiple wallets into one spot before moving it again. It is a classic way to hide where money came from.

The second riskiest is **2984918**. It sent money to 472 different destinations all within the same time window. Splitting one large amount into hundreds of smaller ones is a well-known way to avoid triggering fraud detection systems. There is no clear legitimate reason for a single transaction to do this.

Third is **102570**, which sent funds to 122 separate destinations at the same time. Same concern as above. The speed and the volume together do not add up to normal behavior.

Most Suspicious Cluster

Beyond individual transactions, I found a tight group of transactions near the center of the network where confirmed fraudulent transactions sit right next to a large number of unlabeled ones. Over 500 of those unlabeled transactions were pulling in money from multiple sources and pushing it back out quickly. This is the same behavior I see in the confirmed fraud cases. The fact that they are unlabeled does not mean they are clean. It most likely means they just have not been looked at yet.

Two Recommendations

I recommend the **Investigations Team** manually review the top 50 flagged transactions in this report, starting with the unknown ones that sit directly next to confirmed fraudulent transactions. Being closely connected to known fraud is itself a red flag under international anti-money laundering guidelines.

I also recommend the **Data Team** push to get more transactions properly labeled. Right now about 75% of the dataset has no fraud classification at all. Even labeling a small portion of those would make future analysis much more accurate.

One Data Limitation

I cannot see wallet addresses, transaction amounts, or where in the world these transactions originated. Everything in this dataset has been anonymized. That means my findings are based on how transactions behave in the network, not who is behind them. Before anything here gets submitted to the CBN or NFIU as evidence, it would need to be paired with real on-chain data from a blockchain tracking service.